

EXPLAINS 'Double Top'

The double top looks like the letter "M". The twice touched high is considered a resistance level.

DEFINITION OF 'TECHNICAL INDICATOR'

Any class of metrics whose value is derived from generic price activity in a stock or asset. Technical indicators look to predict the future price levels, or simply the general price direction, of a security by looking at past patterns. Examples of common technical indicators include Relative Strength Index, Money Flow Index,

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Technical indicators, collectively called "technical's", are distinguished by the fact that they do not analyze any part of the fundamental business, like earnings, revenue and profit margins. Technical indicators are used most extensively by active traders in the market, as they are designed primarily for analyzing short-term price movements. To a long-term investor, most technical indicators are of little value, as they do nothing to shed light on the underlying business. The most effective uses of technical's for a long-term investor are to help identify good entry and exit points for the stock by analyzing the long-term trend.

technical and easy-to-understand explanations.